

Alpha Manufacturing Group (AMG)

ERP Replacement Strategy

A phased, risk-controlled path to a modern cloud ERP

Prepared for: AMG Executive Team

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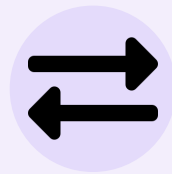
Why This Matters Now

AMG's fragmented systems are already costing the business



80%

of custom orders lost margin last year



20+ yrs

old core ERP driving manual
workarounds



Nightly

BOM sync between systems is fragile
and fails

The Board Mandate: replace the legacy ERP with a modern cloud system, rationalize the application landscape, and improve margin transparency within 12 months, without disrupting operations.

1. Overall Approach: Key Objectives



Margin Visibility

Give leadership real-time visibility into order profitability, so pricing and cost decisions can be corrected before jobs lose money.



Reliable Data Sync

Ensure engineering and materials data stays synchronized in real time, so manufacturing no longer experiences delays caused by sync failures.



Uninterrupted Operations

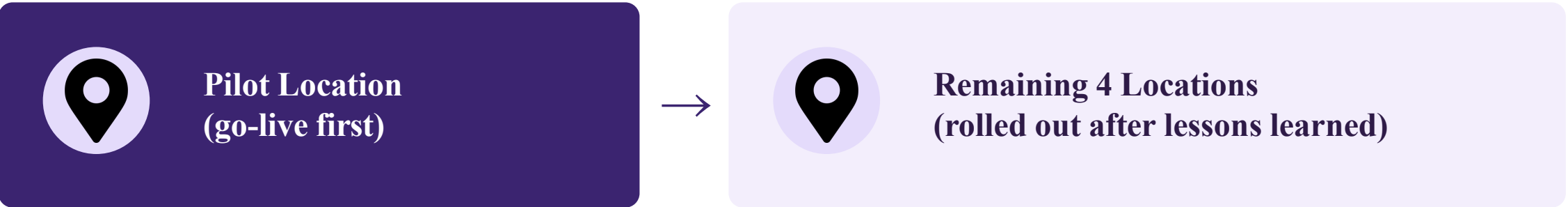
Ensure the rollout happens in stages, one location or module at a time, so daily operations continue without interruption.

1. Overall Approach: Phasing

By Module



By Location



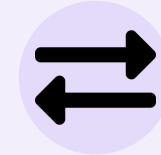
Rationale: containing issues to a single module and site first limits business-wide impact if problems arise, before scaling company-wide.

1. Overall Approach: Top Risks



Data Migration Accuracy

Legacy BOM, inventory, and pricing data may be incomplete or inaccurate when migrated, risking wrong builds or margin loss.



Business Continuity at Cutover

Orders in progress during cutover risk delays as staff adjust to new workflows or systems briefly overlap.



User Adoption

Staff accustomed to the legacy system for 20+ years may resist change or make errors during the transition.



Technical Integration

The new ERP-to-engineering connection is untested and could fail like the current fragile nightly sync.

1. Overall Approach: Scope Control

Every request is tested against one question:

“Is this required for the system to function on Day 1, or is it a nice-to-have?”



Day-1 Must-Have

Required for the system to function. Included in initial go-live.



Nice-to-Have

Logged and deferred to Phase 2 or later. Never rejected outright

This discipline keeps the 12-month timeline intact.

2. Scope & Sequencing

Day-1 Must-Haves



Core finance functions: nvoicing, payments, cost tracking

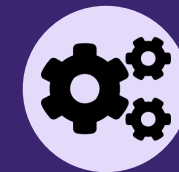


Accurate, real-time BOM and engineering data

Migration Exclusions

Full CRM and HR/Payroll integration is deferred to a later phase. These systems continue operating independently in the short term, reducing complexity during go-live.

Customisation Discipline



Use standard, out-of-the-box ERP functionality wherever possible, not customised to replicate old workflows.

Heavy customisation is expensive, slows implementation, and undermines the purpose of upgrading. Customisation is reserved only for processes that are truly unique.

3. Data & Reporting



Historical Data Migration

Only recent, essential data is migrated. The legacy system stays accessible in read-only mode for older records, with no added migration risk.



Reporting During Transition

A designated finance team member combines data from both systems during each rollout phase, so leadership sees complete KPI reports with no gaps.



Month-End Close Continuity

Cutovers are scheduled immediately after a month-end close, never mid-cycle to protect reporting deadlines and accuracy.

A Disciplined Path Forward

Phased by module and location. Scoped tightly to Day-1 must-haves. Data and reporting protected throughout the transition.



Finance → Manufacturing → Remaining systems, pilot site first



Day-1 must-haves protected; extras deferred, not rejected



Uninterrupted reporting and month-end close throughout

This positions AMG to replace its legacy ERP within 12 months, protecting operations while resolving margin and BOM sync issues.